

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester III Examination, 2013-14

Paper No. BCF-214: Corporate Auditing

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.**

Explain the different types of errors and frauds found in auditing a firm's accounts. Can an auditor prevent such errors and frauds? [14]

OR

Define continuous audit. Discuss its merits and demerits. For what type of business it is suitable? [14]

Question 2.

Before conducting a new audit, discuss the steps to be taken by an auditor. [14]

OR

What is Audit Notebook? Describe its contents. How far it is useful to an auditor? [14]

Question 3.

What points should be kept in mind while examining the vouchers and vouching payments? [14]

OR

How would you vouch the following items? [7+7]

- (a) Purchase of machinery
- (b) Cash sales

Question 4.

What do you mean by valuation of assets? Explain its objects. [14]

OR

How would you verify the following? [7+7]

- (a) Investment
- (b) Plant and machinery

Question 5.

Discuss the provisions of Companies Act regarding appointment of company auditor. [14]

OR

Explain the civil liabilities of a company auditor.

[14]